

Table 64.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the height of the chart pattern at the start of the triangle. Add the result to the price of the horizontal trendline (upward breakout) or subtract it from the breakout price (downward breakout). The result is the price target. The bottom portion of the table shows how often price reaches the target on average.
Wait for breakout	Buy (or sell short) the stock when price closes beyond the trendline.
Support and resistance	Support and resistance may follow the trendline boundaries well into the future. See Figures 64.6 and 64.7 .
Stop location	See Table 64.7 for guidance on stop placement.
Busted trade	Downward breakouts that bust can lead to large gains.
Apex Turning	When price reaches the date of the apex, expect a minor high or low to appear. It might become a major turning point for the stock.

Description	Up Breakout	Down Breakout
Percentage reaching half height target	85%	67%
Percentage reaching full height target	70%	44%
Percentage reaching 2× height	51%	21%
Percentage reaching 3× height	40%	10%